Ola Electric Service Crisis Analytics

Customer Experience Intelligence & Market Recovery Strategy

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1. Company Background

Ola Electric is a direct-to-consumer electric two-wheeler company that expanded rapidly in the Indian EV market. Its growth was supported by strong vehicle registrations and a digitally driven sales and service model.

However, rapid vehicle growth created increasing pressure on the after-sales service ecosystem. Unlike traditional two-wheeler manufacturers with established dealer and service networks, Ola relied heavily on its own service infrastructure. This created a capacity gap as the number of vehicles on the road increased.

During 2024, customer complaints increased significantly while service capacity remained relatively constrained. Battery-related issues, service delays, software/display problems, motor/drivetrain issues and parts availability emerged as major areas of customer concern.

2. Crisis Timeline

2023 - Rapid Expansion

Ola continued expanding its electric two-wheeler base, increasing the number of vehicles requiring after-sales support.

Early 2024 - Service Pressure Builds

Complaint volumes increased as the installed vehicle base expanded. The service network began handling a significantly larger number of vehicles per centre.

Mid-2024 - Customer Issues Intensify

Battery, service-delay and software/display complaints became major contributors to overall complaint volume. Parts availability also emerged as an operational constraint.

August–September 2024 - Crisis Escalation

Customer complaints accelerated while Ola's registration momentum began weakening. The widening gap between vehicle demand and service capacity became increasingly visible.

October 2024 - Crisis Peak

Complaints reached **10,043**, the highest monthly level in the analysed 2024 data. The CCPA also issued a show-cause notice during this period, increasing regulatory pressure.

November–December 2024 - Market Impact

Ola's registrations continued to weaken. Market share fell sharply and reached **15.26% in December 2024**, while competitors such as TVS and Bajaj moved ahead.

Overall Timeline Insight

The analysis indicates that **service and customer-experience deterioration appeared before the deepest decline in registrations**, supporting the use of service metrics as potential early-warning indicators.

3. Root-Cause Proof

The analysis identifies a combination of **service-capacity pressure, customer complaints and parts availability** as the key operational issues behind the crisis.

Service Capacity Gap

Average vehicles per service centre increased from approximately:

- **463 vehicles per centre in 2023**
- **1,194 vehicles per centre in 2024**

This represents a substantial increase in the vehicle load handled by each active service centre.

Complaint Profile

The largest complaint components were:

- Battery — **~26K**
- Service Delay — **~21K**
- Software/Display — **~19K**
- Motor/Drivetrain — **~13K**
- Charger — **~12K**

Battery-related problems were the largest complaint category, followed by service delays and software/display issues.

Parts Availability

The highest stockout levels were recorded for:

- Battery Controller — **1.27 days**
- Touchscreen Display Unit — **1.27 days**
- Battery Pack 4kWh — **1.25 days**
- Front Fork Assembly — **1.24 days**

These parts constraints represent an additional operational challenge, particularly for repairs involving critical vehicle components.

4. Statistical Evidence

Statistical analysis was used to test whether the observed operational patterns were supported by measurable relationships.

Complaint–Registration Lag Analysis

The relationship between complaints and Ola registrations became stronger when registrations were shifted forward in time.

2024 results:

- Lag 0: **-0.459**
- Lag 1: **-0.722**
- Lag 2: **-0.869**

For Lag 2, **January–October 2024 complaints were compared with March–December 2024 registrations**.

The strongest relationship occurred at the two-month lag, suggesting that **rising complaints were followed by lower registrations approximately two months later**.

This does not establish causation, but it supports using complaint trends as an early-warning indicator.

Complaint - CSAT Relationship

The monthly correlation between complaints and CSAT was approximately:

-0.985

This indicates an extremely strong inverse relationship in the analysed monthly data: months with higher complaint volumes tended to have substantially lower customer satisfaction.

Complaint–Stockout Relationship

Complaint volume and stockout levels showed a positive relationship of approximately:

0.712

This indicates that periods with higher stockout levels also tended to experience higher complaint volumes.

TAT and CSAT

The January 2024 versus October 2024 analysis showed a strong negative relationship between TAT and CSAT, with a correlation of approximately:

-0.748

This supports the operational interpretation that longer service turnaround is associated with poorer customer satisfaction.

5. Competitor Comparison

The competitive analysis benchmarks Ola against **TVS, Bajaj, Ather and Hero Vida**, with additional VAHAN registration data covering other OEMs where applicable.

Market-Share Trajectory

Ola maintained a strong market position through most of the analysed period. In 2024, its market share approximately reached ranging from 33% to 36%.

However, market share weakened sharply during Q4 2024.

By December 2024:

- Ola - **15.26%**
- TVS - approximately **27%**

This indicates a significant deterioration in Ola's relative market position during the crisis period.

Competitor Positioning

TVS

TVS represents a strong benchmark because of its established physical service and dealer ecosystem. Its ability to combine vehicle sales with a broad service footprint provides an operational advantage in after-sales support.

Bajaj

Bajaj benefits from an established two-wheeler distribution and service network. Its existing physical infrastructure provides greater customer access compared with a highly centralized service model.

Competitive Conclusion

Ola's major competitive weakness during the crisis was not only product competition but also **after-sales service scalability**. Traditional manufacturers benefited from mature physical networks, while EV competitors provided more focused EV service capabilities.

Ola therefore needs to improve service reach and reliability without losing the advantages of its direct-to-consumer operating model.

6. Market Opportunities

The crisis also highlights several opportunities to build new revenue streams while addressing operational weaknesses.

1. Service Network Expansion

The high vehicles-per-service-centre ratios in cities such as Vadodara, Kochi, Hyderabad, Mumbai and Surat indicate strong potential for additional service capacity.

Opportunity: franchise or partner-based service centres in high-demand locations.

2. B2B Fleet & Gig Mobility

Ola's **2024 registrations of 371,581 vehicles** provide a substantial installed base and support an opportunity to target fleet and delivery users.

Opportunity: dedicated fleet service packages, uptime-focused maintenance and S1 Gig-oriented B2B solutions.

3. Extended Warranty & AMC

Ola recorded **₹143.84 Cr in warranty claims paid during 2023–24**.

Opportunity: convert after-sales demand into recurring revenue through extended warranties, AMC plans and preventive maintenance packages.

4. Battery Health Services

Battery issues represented approximately **26K complaints**, making them the largest identified complaint component.

Opportunity: battery diagnostics, health monitoring and subscription-based battery-care services.

7. Recovery Recommendations

The recovery strategy should focus first on restoring customer trust and service reliability, followed by market expansion.

Priority 1
Expand Service Capacity

Prioritize cities with the highest vehicles-per-centre ratios and introduce franchise/partner service models where internal expansion is slower.

Priority 2
Fix Critical Parts Availability

Focus inventory planning on high-impact components such as battery controllers, battery packs, displays and front fork assemblies.

Priority 3
Reduce Service Turnaround

Set city-level TAT targets and monitor backlog, repeat visits and unresolved cases continuously.

Priority 4
Build an Early-Warning System

Use complaint growth as a leading indicator and monitor the two-month relationship with registrations.

Priority 5
Rebuild Customer Value

Introduce extended warranty, AMC and battery-health offerings to improve retention while creating recurring after-sales revenue.

Priority 6
Target Fleet & Commercial Users

Use the S1 Gig proposition to develop dedicated B2B and delivery-fleet packages where uptime and predictable servicing are critical.

8. Final Recommendation

Ola's crisis was not simply a market-share problem. The analysis indicates a broader **after-sales scalability problem**, where rapid vehicle growth was accompanied by increasing service pressure, customer complaints and parts constraints.

The strongest evidence is the increase in vehicles handled per service centre from **463 in 2023 to 1,194 in 2024**, combined with the strong two-month complaint-to-registration relationship.

The recommended strategy is therefore to:

Expanding service capacity leads to stabilization of parts and reduces TAT restoring customer satisfaction and rebuilding market share.

The company should use complaints and service KPIs as **leading indicators**, allowing management to intervene before customer-experience deterioration translates into further market loss.

End of Report